IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 11/4-891/22

BETWEEN

YAP LEE HAR ... CLAIMANT

AND

KNM EXOTIC EQUIPMENT SDN BHD ...COMPANY

AWARD NO.: 1829 OF 2025

Before : Y.A. PUAN NUR FAUZAH BINTI DATO' MOKHTAR
- CHAIRMAN (Sitting Alone)

Venue : Industrial Court of Malaysia at Kuala Lumpur

Date of Reference : 18.04.2022.

Date(s) of Mention : 30.05.2022, 10.08.2022, 18.09.2022, 08.04.2023, 30.05.2023, 17.08.2023, 08.09.2023, 01.11.2023, 06.02.2024, 06.03.2024, 02.05.2024, 04.11.2024 & 12.11.2024.

Date(s) of Hearing : 26.04.2024, 04.06.2024 & 30.07.2024.

Representation : For the Claimant –
Mr. Irwin Lo
Ms. Sandy Devi
Mr. Chan Yi Zheng
Messrs Lo Chambers

For the Company –
Mr. Allen Miranda
Messrs Suraiya Arif, Miranda & Tan

REFERENCE:

[1] This is a reference from the Director General for Industrial Relations to the Industrial Court of Malaysia under *subsection 20(3) of the Industrial Relations Act 1967* [*Act 177*] in respect of the dismissal of **YAP LEE HAR** ("the Claimant") by **KNM EXOTIC EQUIPMENT SDN. BHD.** ("the Company") on **7th September 2021**.

AWARD

[2] In view of the Restraining Order relating to the KNM Group of Companies the hearing for this case was only able to proceed on 26th April 2024. The hearing then continued on 4th June 2024 and concluded on 30th July 2024.

[3] The Company called two (2) witnesses i.e. Lai Yoke Ching ("COW-1") and Ma Lourdes Francisco ("COW-2"). Whilst the Claimant gave evidence on her own behalf.

[4] In handing down this Award the following were considered by this Court:

(a) the record of proceedings;

(b) the notes of proceedings;

(c) Statement of Case dated 15th June 2022;

(d) Statement in Reply dated 5th August 2022;

(e) Rejoinder dated 16th August 2022;

(f) the Witness Statements of –

(i) the Claimant ("CLWS1");

(ii) COW-1 ("COWS1"); and

(iii) COW-2 ("COWS2");

(g) the Claimant's Bundles of Documents marked as CLB;

(h) the Company's Bundles of Documents marked as COB1 and COB2;

(i) the Claimant's Written Submissions dated 7th October 2024;

(j) the Company's Written Submissions dated 7th October 2024;

(k) the Claimant's Written Submissions in Reply dated 11th November 2024; and

(l) the Company's Written Submissions in Reply dated 11th November 2024.

Background Facts

[5] Based on the pleadings and bundles of documents, this Court takes note of the following –

(a) the Claimant commenced employment with a company known as Inter Merger Project Management Sdn Bhd on 16th May 1997 as an Account Assistant drawing a monthly basic salary of RM1,300.00. It is further noted Inter Merger Project Management Sdn Bhd is a member of the Inter Merger Group;

(b) throughout her employment, the Claimant had been transferred to subsidiaries of Inter Merger Project Management Sdn Bhd as well as companies which form part of the Inter Merger Group (which included IM Bina Sdn Bhd);

(c) prior to her termination of employment, the Claimant was working with the Company (i.e. KNM Exotic Equipment Sdn Bhd) which is part of the KNM Group Bhd and was holding the position as a Finance Executive and drawing a monthly basic salary of RM8,128.00;

(d) on 13th August 2021, the Company issued a letter to the Claimant stating and/or suggesting that the Claimant's appointment in the Company was a secondment from IM Bina Sdn Bhd. Following a recent change in the KNM Group Bhd Organization Structure the Company proposed that the Claimant put in her resignation letter as a staff of IM Bina Sdn Bhd and

then re-apply to the Company, but for the position as Budget Cost Control Executive with a salary of RM1,000.00 below her last drawn salary; and

(e) *vide* email dated 7th September 2021, the Claimant replied by stating her refusal to do so and considered the Company's action as terminating her services without notice.

The Claimant's Case and Submissions

[6] Based on the Claimant's Pleadings, the Claimant's Written Submissions and the Claimant's Written Submissions in Reply, the Claimant avers she was unfairly dismissed by the Company. In relation thereto, the Claimant avers as follows –

(a) the Claimant was an employee of the Company or the KNM Group Bhd in view of the following:

(i) the "second" and "transfer" application. In this regard, reference was made to the High Court case of *ACP DMT Sdn Bhd v Wan Abdul Hamid Wan Abdul Rahman & Anor* [2023] MLRHU 165 wherein it was held, *inter alia*, "*the difference between a transfer and a secondment whereby in a secondment arrangement, the employer would remain the same and would not change*". In relation thereto, each time the Claimant is transferred to a new company, her employment, will rest with that particular company during that specific material time since the letters adduced all express the word

"transfer" instead of "seconded". Following the chain of event, i.e. chronologically and sequentially, CLW1's last employment status ends with the Company;

(ii) the "Attitude" and "Demeanor" of the employer vis-à-vis the Employees' Share Option Scheme Application. When COW-1 was referred to the extract of minutes of KNM Group EGM held on 18th April 2014 (i.e. COB2 pages 1 – 2), she confirms that the said resolution only allows the Scheme to be given to eligible employees in the KNM Group Bhd. The validity of the documents in COB2 pages 3 – 22 showing that there are employees from Inter Merger Group that receives the benefit from the Scheme is disputed as the Company failed to provide further proof, such as calling the maker or employees to testify;

(iii) the control test as laid down in the Industrial Court case of *Chin Siang Tean v. Great Pyramid Sdn Bhd* [2024] 3 MELR 817. The respective companies have control over the work and performance of the Claimant at that material time when she was transferred to them. This can be seen where Sumber Amantech Sdn Bhd carried out a performance appraisal on the Claimant in 2016 and IM Bina Sdn Bhd carried out a performance appraisal on Claimant in 2018. Furthermore, when she was working with Sumber Amantech Sdn Bhd and the Company, Sumber Amantech Sdn Bhd and the Company were the ones who paid her salary, respectively;

(b) in reference to *Rafina Oil Products Sdn Bhd v S. Jayabalan* [1984] 2 ILR 531, by operation of law, the contract with Inter Merger Project Management Snd Bhd would have been terminated and ceased to exist and it is for that reason, the letter dated 9th November 2020 from IM Bina Sdn Bhd states "*All other terms and conditions of your employment shall remain unchanged*". The said letter was to transfer Claimant back to Sumber Amantech Sdn Bhd. Hence, the "terms and conditions" of her employment are with reference to her contracts entered with the KNM Group Bhd because there is no longer a contract with the Inter Merger Group;

(c) the Company was motivated by reasons of redundancy to do what they did i.e. the Claimant was asked to leave the Company using secondment as an excuse to disguise the redundancy. This can be seen in the number of industrial relation complaints as well as the Company's own admission that they (or KNM Group Bhd) were in financial distress during the material time;

(d) the alleged proposal made by the Company was not subject to any form of negotiation. The Company's 'proposal' here is a statement, plan and scheme put forward to force the Claimant to treat herself as an employee of the Inter Merger Group, to stripe her off all the benefits she accumulated over the past 24 years of service, and to demote her. The Company was forcing the Claimant to resign. In any event, what is important to note here is that the Company did not reply to the Claimant's email dated 7th September 2021. Hence, the failure to reply to the said email should

be read against the Company to show that they agreed that this is a termination without 'notice';

(e) even when the Group CEO of KNM Group Bhd had retired in July 2020, the Claimant continue to provide her services for and on behalf of the KNM Group Bhd and the Company until she was prohibited to enter the Company in September 2021;

The Company's Case and Submissions

[7] The Company, in its pleadings avers as follows:

(a) the Company had never dismissed the Claimant at any material time as the Claimant was merely seconded to the Company for about two (2) months from 1st June 2021 to 31st July 2021. However, the Claimant had on her own terminated her employment service vide her email dated 7th September 2021;

(b) the Claimant was at all material times an employee of Inter Merger Sdn Bhd Group of Companies, hence the Company does not seem to comprehend as to why the Claimant resisted to return back to IM Bina Sdn Bhd which provided the Claimant full benefits and no change of years of service and decided to walk off of employment instead;

(c) during the Annual General Meeting which convened on 21st June 2021, the shareholders of KNM Group Bhd had disapproved the proposed

Recurring Related Party Transactions with Inter Merger Sdn Bhd. This meant the KNM Group Bhd of Companies could not carry out any related party transactions involving Inter Merger Sdn Bhd;

(d) the Company met the Claimant on 3rd September 2021 and explained to the Claimant regarding her employment status i.e. she was merely a seconded employee of IM Bina Sdn Bhd which was part of Inter Merger Sdn Bhd. However, as the Claimant expressed her intention of wanting to work for the Company, even though the Company was suffering from financial hardship, out of goodwill the Company created a position for the Claimant and offered the Claimant a role as a Budget Cost Control Executive in the Finance department. During the meeting the Claimant was keen on the role and accepted the job offer; and

(e) subsequently the Claimant disagreed to the Company's offer and wrote an email dated 7th September 2021 to the Company disagreeing to the same and in the same email made untrue allegations against the Company.

[8] The Company further submits –

(a) contrary to the Claimant's assertion that the Company refused/prohibited the Claimant from entering the Company's premises, the Claimant during cross-examination confirmed that she was in fact allowed to enter the Company's premises;

(b) the Claimant has failed to discharge her burden of proof that there was a dismissal of the Claimant's employment by the Company with effect from

7th September 2021;

(c) applying the Industrial Court case of *Bujang Saat Buang v Dexcel Sdn Bhd & Ors* [2010] 1 ILR 400, despite the Claimant's secondment and transfers, it is important to note that the Claimant's employment contract with Inter Merger Project Management Sdn Bhd was never terminated and remains an employee of Inter Merger Project Management Sdn Bhd;

(d) as Inter Merger Project Management Sdn Bhd and IM Bina Sdn Bhd are not part of KNM Group Bhd, failure by the Claimant to join both companies as parties to this case is fatal to the Claimant's case;

(e) the Claimant is in fact asking this Court to lift the veil of incorporation and to make a finding of fact that Inter Merger Project Management Sdn Bhd and the KNM Group Bhd are one entity or one enterprise; and

(f) by the Claimant's own admission that the Employees' Share Option Scheme Application was not offered exclusively to the Company's employees, the Claimant has debunked her own theory that the Scheme was offered to the Claimant showed that the Claimant was an employee of the Company.

Remedies sought by the Claimant

[9] The Claimant prays that this Court makes such order that she be reinstated to her former position without any loss of wages, allowances,

privileges and any other benefits together with arrears from the date of her termination to the date of reinstatement or any other alternative relief as this Court deems fit and proper.

The Role of the Industrial Court, Burden of Proof and Standard of Proof

[10] It is noted that the role or function of the Industrial Court has been clearly stated in the following cases:

(a) the Supreme Court case of *Wong Chee Hong v Cathay Organisation (M) Sdn Bhd* [1988] 1 CLJ (Rep) 298, where at p. 302, Salleh Abas LP, in delivering the judgment of the Supreme Court, referring to section 20 of the Industrial Relations Act 1967 said, "*When the Industrial Court is dealing with a reference under s. 20, the first thing that the Court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse*"; and

(b) the Federal Court in the case of *Goon Kwee Phoy v J & P Coats (M) Bhd* [1981] 1 LNS 30, where His Lordship Raja Azlan Shah, CJ (Malaya) (as HRH then was) stated that "*Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse. If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that*

the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it."

[11] It is further noted in cases where a claimant is dismissed by the company, the burden is on the company to proof that the dismissal was with just cause or excuse. In the Industrial Court case of *Ireka Construction Berhad v Chantiravathan a/l Subramaniam James* [1995] 2 ILR 11, where at p. 15, the Learned Chairman, Her Ladyship Siti Saleha Dato' Sheikh Abu Bakar, stated "*It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be, either a misconduct, negligence or poor performance based on the facts of the case*".

[12] In the case of *Telekom Malaysia Kawasan Utara v Krishnan Kutty Sanguni Nair & Anor* [2002] 3 CLJ 314 the Court of Appeal had laid down the principle that the standard of proof that is required to prove a case in the Industrial Court is one that is on the balance of probabilities. His lordship Justice Abdul Hamid Mohamad, JCA stated "*[t]hus, we can see that the preponderant view is that the Industrial Court, when hearing a claim of unjust dismissal, even where the ground is one of dishonest act, including "theft", is not required to be satisfied beyond reasonable doubt that the employee has "committed the offence", as in*

a criminal prosecution. On the other hand, we see that the courts and learned authors have used such terms as "solid and sensible grounds", "sufficient to measure up to a preponderance of the evidence," "whether a case... has been made out", "on the balance of probabilities" and "evidence of probative value". In our view the passage quoted from Administrative Law by H.W.R. Wade & C.F. Forsyth offers the clearest statement on the standard of proof required, that is the civil standard based on the balance of probabilities, which is flexible, so that the degree of probability required is proportionate to the nature of gravity of the issue. But, again, if we may add, these are not "passwords" that the failure to use them or if some other words are used, the decision is automatically rendered bad in law".

[13] Thus, the role or function of the Industrial Court is to determine whether there was a dismissal and if so whether on the balance of probabilities the said dismissal was with just cause or excuse.

Issue to be determined

[14] In order for the Court to determine whether there was a dismissal and if so whether on the balance of probabilities the said dismissal was with just cause or excuse, the critical issue this Court would need to determine is whether the Claimant is an employee of the Company or of the KNM Group Bhd.

This Court's Findings

[15] The Claimant's narrative vide letter dated 29th August 2021 are as follows:

(a) she was seconded to IM Bina Sdn Bhd from the Company (KNM Exotic Equipment Sdn Bhd) and not the other way round;

(b) she joined KNM Group Bhd in May 1997 before the Company was listed on Bursa Malaysia;

(c) she had been transferred to a few companies as decided by the Management of KNM Group Bhd;

(d) she had been in the employment of KNM Group Bhd for 24 years; and

(e) throughout her employment she was promoted from Accounts Assistant to Accounts Supervisor to Finance Executive.

[16] Having considered the evidence given by the Claimant and the Company as well as the Bundles of Documents and submissions of both the Claimant and the Company, this Court finds that as regards the Claimant's employment –

(a) the Claimant was initially employed by Inter Merger Project Management Sdn Bhd vide a contract of employment letter dated 12th May 1997 as Accounts Assistant commencing from 16th May 1997. The said letter was signed by one Lee Swee Eng, Group President using the Inter Merger Project Management Sdn Bhd's letterhead;

(b) vide letter dated 15th August 1997 the Claimant was informed of her confirmation which came into effect on 17th August 1997. The said letter was signed by the same Group President i.e. one Lee Swee Eng, using the Inter Merger Project Management Sdn Bhd's letterhead;

(c) the contract of employment letter dated 12th May 1997 makes provision, *inter alia*, that "*the Company reserves the right to transfer [the Claimant] to any branch, subsidiary or associate Company without assigning any reason*";

(d) subsequently when Inter Merger Project Management Sdn Bhd formed a subsidiary company i.e. Duraton Engineering Sdn Bhd, the Claimant was informed of her transfer to the said subsidiary company vide letter dated 12th December 2000. The Claimant's transfer was effective on 1st December 2000 and the said letter further stated, *inter alia*, "*all other terms and conditions of your employment shall remain unchanged*". The said letter which was signed by the same Group President i.e. one Lee Swee Eng, using the Inter Merger Project Management Sdn Bhd's letterhead also stated that Duraton Engineering Sdn Bhd replaces "*IMPM and EMS*";

(e) on 31st July 2004, Duraton Engineering Sdn Bhd issued a confirmation letter informing that the Claimant "*…is an employee in our Company…*";

(f) vide letter dated 9th June 2005, the Claimant was informed of her transfer to Sumber Amantech Sdn Bhd with immediate effect and the said letter

further stated, *inter alia*, "*all other terms and conditions of your employment shall remain unchanged as per your employment contract*". The said letter was signed by one Lee Swee Eng as the Group Managing Director using the Duraton Engineering Sdn Bhd's letterhead;

(g) vide letter dated 25th August 2005, Sumber Amantech Sdn Bhd certified that the Claimant "*…is employed as Accounts Assistant by the Company…*";

(h) the Claimant was then upgraded in her position to Finance Executive for Inter Merger Group of Companies effective from 1st April 2016. The Claimant was duly informed relating to the same vide letter dated 4th April 2016 from Sumber Amantech Sdn Bhd. The said letter was signed by one Lee Swee Eng as the Group Chief Executive Officer and the said letter stated, *inter alia*, "*all other terms and conditions of your employment shall as per your appraisal letter for year 2015 attached herewith*". It is further noted, the appraisal letter for year 2015 contains, *inter alia*, the following terms "*all other expressed and implied terms and conditions of employment specified in your letter of appointment remain unchanged*";

(i) vide letter dated 30th June 2016, the Claimant was informed that "*…with effect from 1st July 2016, the Management has decided to transfer you to IM Bina Sdn Bhd…*". The said letter was signed by one Lee Swee Eng as the Group Chief Executive Officer using Sumber Amantech Sdn Bhd's letterhead;

(j) on 1st June 2018, the Claimant received her performance appraisal for year 2017 vide letter from IM Bina Sdn Bhd signed by the Director, one Mohd Yusoff Kotok. It is further noted, the performance appraisal for year 2017 contains, *inter alia*, the following terms "*all other expressed and implied terms and conditions of employment specified in your letter of appointment remain unchanged*";

(k) subsequently, vide letter dated 9 November 2020, the Claimant was informed that "*…with immediate effect, you are hereby transfer back to Sumber Amantech Sdn Bhd as Finance Executive*". The said letter which was signed by one Mohd Yusoff Kotok, Director, using the IM Bina Sdn Bhd's letterhead also contains, *inter alia*, the following terms "*all other terms and conditions of your employment shall remain unchanged*"; and

(l) thereafter, the Claimant was transferred to the Company as Finance Executive. The Claimant was accordingly informed of the said transfer vide letter dated 6th May 2021 signed by one Jamie Gan, Executive Vice Chairman using the Sumber Amantech Sdn Bhd's letterhead. The letter also contains, *inter alia*, the following terms "*all the other terms and conditions of your employment shall remain unchanged as per your appointment letter*";

[17] Based on the information from the Companies Commission of Malaysia i.e. SSM e-Info (as per COB1 and CLB) as well as available information –

(a) in relation to Inter Merger Project Management Sdn Bhd –

(i) it was incorporated on 28th September 1991 with joint shareholding owned by two (2) individuals i.e. one Gan Cheng Gey and one Wong Lay Fong and its status is stated as “winding up”;

(ii) it is / was a member of the Inter Merger Group;

(b) in relation to Inter Merger Sdn Bhd –

(i) it is a private vehicle established by one Lee Swee Eng and his spouse;

(ii) it is the majority shareholder / holding company of IM Bina Sdn Bhd;

(iii) it was a major / substantial shareholder of KNM Group Bhd but ceased to be the substantial shareholder since August 2022; and

(c) IM Bina Sdn Bhd and Inter Merger Project Management Sdn Bhd appear to be related through a common holding company, Inter Merger Sdn Bhd;

[18] This Court further notes that based on information from the Companies Commission of Malaysia i.e. SSM e-Info (as per COB1 and CLB) as well as available information –

(a) one Lee Swee Eng, who was the co-founder of Inter Merger Sdn Bhd, was also the founder of KNM Group Bhd and has a substantial shareholding in KNM Group Bhd through Inter Merger Sdn Bhd;

(b) Duraton Engineering Sdn Bhd, a wholly owned subsidiary of KNM Process Systems Sdn Bhd, was incorporated on 14th November 2000 and is still in existence;

(c) Sumber Amantech Sdn Bhd, a wholly owned subsidiary of KNM Process Systems Sdn Bhd, was incorporated on 17th June 2004 and is still in existence;

(d) the Company i.e. KNM Exotic Equipment Sdn Bhd was incorporated on 19th July 1991 and is also a wholly owned subsidiary of KNM Process Systems Sdn Bhd; and

(e) KNM Process Systems Sdn Bhd is part of KNM Group Bhd.

[19] As observed above, one Lee Swee Eng was the founder of KNM Group Bhd and also the co-founder of Inter Merger Sdn Bhd. Notwithstanding the shared interests between KNM Group Bhd and Inter Merger Sdn Bhd, it is plainly clear that Inter Merger Sdn Bhd is not part of KNM Group as Inter Merger Sdn Bhd is only a private vehicle co-founded by one Lee Swee Eng to manage his interests in KNM Group Bhd.

[20] In relation to the above, this Court finds that –

(a) when Inter Merger Project Management Sdn Bhd formed a subsidiary company, i.e. Duraton Engineering Sdn Bhd, and the Claimant was informed of her transfer to the said subsidiary company vide letter dated 12th December 2000, the said letter further stated that "*[y]our seniority and*

benefits under the Group shall be maintained and will not be affected". It is quite obvious that "*the Group*" referred to in the said letter is the Inter Merger Group as Inter Merger Project Management Sdn Bhd is a member of the Inter Merger Group;

(b) the confirmation letter dated 3rd October 2001 issued by Duraton Engineering Sdn Bhd clearly stated that the Claimant *"...adalah pekerja kami yang memegang jawatan sebagai 'Accounts Assistant' sejak 16/5 1997*" and the date mentioned therein, i.e. "16/5 1997", is the date the Claimant joined Inter Merger Project Management Sdn Bhd as per the contract of employment letter dated 12th May 1997;

(c) the confirmation letter dated 31st July 2004 issued by Duraton Engineering Sdn Bhd informing that the Claimant "*...is an employee in our Company...*" explicitly specified under the particular "*Date Joined*" as "*16 05 1997*" i.e. the exact date the Claimant joined Inter Merger Project Management Sdn Bhd as per the contract of employment letter dated 12th May 1997;

(d) 16th May 1997 was also the date mentioned in Sumber Amantech Sdn Bhd's letter dated 25th August 2005 as regards the Claimant's date of employment i.e. the date the Claimant started working as Accounts Assistant in Sumber Amantech Sdn Bhd. The said date is the exact date the Claimant joined Inter Merger Project Management Sdn Bhd as per the contract of employment letter dated 12th May 1997;

(e) even though the letter dated 4th April 2016 informing the Claimant of her upgraded post to Finance Executive carries the letterhead of Sumber Amantech Sdn Bhd and was signed by one Lee Swee Eng, Group Chief Executive Officer, the said letter clearly stated that she "*will be upgraded to Finance Executive for Inter Merger Group of Companies*" and not for KNM Group Bhd;

(f) the Claimant was unable to refute evidence adduced by the Company that during the Claimant's two-month job stint at the Company i.e. 1st June 2021 until 31st July 2021, the Claimant's salary paid by KNM Process Systems Sdn Bhd was back-charged to IM Bina Sdn Bhd as per the Debit Notes enclosed in COB1. This was further supported by the Company's letter dated 13th August 2021 wherein it is stated, *inter alia*, that "*...we have informed the above-mentioned seconded employee of the discontinuance of the secondment assignment and we understand there are no more tasks pending from her for KNM Group as most of her work and reporting line were exclusively related to IM Bina Sdn Bhd only. In light of the above, Ms. Yap Lee Har's assignment by IM Bina Sdn Bhd to KNM Group shall be ended on 31st July 2021. As such, her last salary back charge to IM Bina Sdn Bhd shall be ended on 31st July 2021 respectively*...";

(g) notwithstanding the fact that the Claimant was transferred to Duraton Engineering Sdn Bhd in December 2000 and Sumber Amantech Sdn Bhd in June 2005, which form part of KNM Group Bhd, the letter of transfers contained similar statements i.e. generally the letters stated that "*all other*

terms and conditions of employment remain unchanged". Since no further evidence has been adduced by the Claimant that she had signed new employment contracts with both companies, it can be said that the terms and conditions of employment that remain unchanged were as per the contract of employment letter dated 12th May 1997; and

(h) the Claimant's transfer letter to the Company, i.e. KNM Exotic Equipment Sdn Bhd, dated 6th May 2021 signed by one Jamie Gan, Executive Vice Chairman also contains, *inter alia*, the following terms "*all the other terms and conditions of your employment shall remain unchanged as per your appointment letter*". As no further evidence has been adduced by the Claimant that she had signed a new employment contract with the Company, the terms and conditions of employment referred therein were as per the contract of employment letter dated 12th May 1997. If indeed there was a signed contract of employment with the Company, the Claimant could have easily provided relating to the same as she had tendered in her own bundles of documents (i.e. CLB) the contract of employment offered by the Company vide letter dated 30th December 2021 (which the Claimant had rejected).

[21] Taking into consideration the above observations, the Claimant's narrative vide letter dated 29th August 2021 that –

(a) she joined KNM Group Bhd in May 1997 before the Company was listed on Bursa Malaysia and she was seconded to IM Bina Sdn Bhd from the Company (i.e. KNM Exotic Equipment Sdn Bhd) and not the other way

round, is inconsistent with the evidence tendered in Court as the Claimant's contract of employment letter dated 12th May 1997, confirmation letter dated 15th August 1997, appraisal report in August 1997, letter of certification dated 26th August 1999 to Hospital University Kebangsaan Malaysia, letter dated 18 April 2000 regarding her performance appraisal for the year 1999, letter dated 11th May 2000 to the Immigration Department and transfer letter dated 12th December 2000 to Duraton Engineering Sdn Bhd (a wholly owned subsidiary of KNM Process Systems Sdn Bhd which is part of KNM Group Bhd) clearly bear the Inter Merger Project Management Sdn Bhd's letterhead. As noted in preceding paragraphs, Inter Merger Project Management Sdn Bhd is a member of the Inter Merger Group not KNM Group Bhd;

(b) she had been transferred to a few companies as decided by the Management of KNM Group Bhd, could easily be refuted as it is also inconsistent with the evidence adduced before this Court particularly her initial transfer letter dated 12th December 2000 to Duraton Engineering Sdn Bhd bears the Inter Merger Project Management Sdn Bhd's letterhead and was not issued by KNM Group Bhd; and

(c) she had been in the employment of KNM Group Bhd for 24 years and throughout her employment she was promoted from Accounts Assistant to Accounts Supervisor to Finance Executive, does not fit the timeline. Bearing in mind the so-called "24-year" period of her employment and the fact that the letter was issued by the Claimant in August 2021, her commencement date of employment at KNM Group Bhd should have been

in or around August 1997. However, this does not fit the time line as she was only transferred to Duraton Engineering Sdn Bhd, a wholly owned subsidiary of KNM Process Systems Sdn Bhd which is part of the KNM Group Bhd, sometime in December 2000.

[22] In relation to the Employees' Share Option Scheme Application, –

(a) this Court observes that the Claimant is disputing the validity of the documents tendered in COB2 as the Company failed to call the maker or employees to testify. As the Claimant is disputing the veracity of the documents tendered in COB2, this Court would not be considering the said documents vis-à-vis the Employees' Share Option Scheme Application. Instead, this Court will now look at the documents tendered by the Claimant as per pages 44 – 53 of CLB;

(b) based on the documents tendered by the Claimant as per pages 44 – 53 of CLB –

(i) when KNM Group Bhd extended the option to the Claimant to subscribe for ordinary shares of KNM Group Bhd in 2019 vide the Certification of Option, it contains the name of the Claimant and her employee number i.e. IB208. Following thereto, when the Claimant opted to exercise her initial rights to subscribe for ordinary shares of KNM Group Bhd relating to the same, the Notice to Exercise Option Form contains particulars that were required to be filled out by the Claimant. These particulars include her name, employee

number and NRIC/Passport number. In relation to the employee number, the Claimant wrote “IB208”; and

(ii) when KNM Group Bhd extended the option to the Claimant to subscribe for ordinary shares of KNM Group Bhd in 2020 vide the Certification of Option, it contains the name of the Claimant and her employee number i.e. SA1392. Following thereto, when the Claimant opted to exercise her rights to subscribe for ordinary shares of KNM Group Bhd relating to the same, the Notice to Exercise Option Form contains particulars that were required to be filled out by the Claimant. These particulars include her name, employee number and NRIC/Passport number. In relation to the employee number, the Claimant wrote “SA1392”;

(c) taking into consideration the clarification provided by COW-1 wherein “IB” stands for “IM Bina Sdn Bhd” and “SA” stands for “Sumber Amantech Sdn Bhd, it would seem that the KNM Group Bhd’s Employees’ Share Option Scheme is not just for the benefit of the eligible employees of the KNM Group Bhd as the Claimant holding IM Bina Sdn Bhd’s employee number was also given the option to subscribe for the ordinary shares of KNM Group Bhd. As such, this Court is in agreement with the Company’s submission that the fact an offer was made to the Claimant does not make the Claimant an employee of KNM Group Bhd.

Considering the totality of the above, this Court could not but come to the conclusion that the Claimant was employed by Inter Merger Project Management

Sdn Bhd vide a contract of employment letter dated 12th May 1997 and for all intents and purposes remained an employee of the Inter Merger Group. Thus, the only plausible explanation is that the Claimant was only seconded to Duraton Engineering Sdn Bhd, Sumber Amantech Sdn Bhd and KNM Exotic Equipment Sdn Bhd within the KNM Group Bhd.

[23] It is understandable that the Claimant is trying to paint a different picture by asserting that she was seconded to IM Bina Sdn Bhd from KNM Exotic Equipment Sdn Bhd, i.e. the Company. However, this Court is unable to accept the Claimant's assertion as all evidence tendered in Court do not support this contention.

[24] In fact the Company had proposed to the Claimant during a meeting held on 3rd September 2021 for the Claimant to tender her resignation as staff of IM Bina Sdn Bhd and make a new job application to KNM Group Bhd as a Budget Cost Control Executive. However, this proposal was rejected by the Claimant as per her own admission vide email dated 7th September 2021 she would have to give up her seniority, her years of service as well as her existing salary and all staff benefits she had gained through her 24 years of service. This Court finds the Company's contention relating to the same to be more plausible as a copy of the contract of employment offered by the Company vide letter dated 30th December 2021 was tendered in the Claimant's own bundles of documents (i.e. CLB).

[25] Based on the above findings and observations, the Claimant has failed to prove that her contract of employment was with the Company and as such she has also failed to prove that she was an employee of the Company. This Court acting according to equity, good conscience and the substantial merits of the case without regard to technicality and legal form, hereby dismissed the Claimant's claims against the Company.

HANDED DOWN AND DATED THIS 27th DAY OF NOVEMBER, 2025.

-signed-

(NUR FAUZAH BINTI DATO' MOKHTAR)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
AT KUALA LUMPUR